Himaayah Schools
ACADEMY

FREE GUIDE

وَلَا تَجْعَلْ يَدَكَ مَغْلُولَةً إِلَىٰ عُنُقِكَ وَلَا تَبْسُطْهَا كُلَّ الْبَسْطِ

"And do not make your hand chained to your neck, nor extend it completely." (al-Isrāʾ 17:29)

JAMB Economics

A UTME study guide: demand and supply, costs, markets, national income, money, trade, worked examples and a practice test.

بِسْمِ اللَّهِ الرَّحْمٰنِ الرَّحِيمِ

Before you begin

Economics in the UTME mixes definitions, diagrams and short calculations: elasticity, costs, national income and the multiplier come up every year. Understand the ideas, learn to read the graphs, and practise the calculations until they are quick. This guide gives you the syllabus in six areas, the formulas and key facts, worked examples, the traps to avoid, an 8-week plan and a practice test.

The UTME at a glance	
Subjects	Use of English and three subjects for your course. Economics is required for economics, accounting, banking and finance, business administration and many social science courses.
Questions	Use of English 60; each other subject 40; 180 questions in all, on computer (CBT).
Time	About two hours for all four papers, so roughly 40 seconds a question. You move freely between subjects.
Marking	Each subject is scored out of 100, for a total out of 400. There is no negative marking: never leave a question blank.

Check the official details

Exam rules and syllabuses can change from year to year. Always check the current JAMB brochure and the official Economics syllabus on the JAMB website or e-facility portal, and follow them where they differ from this guide.

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Part 1 The syllabus at a glance

Study from the **JAMB syllabus**, not only from your school notes: every UTME question comes from a topic on it. The topics fall into these areas:

Area	Topics
Basic concepts	Scarcity, choice, scale of preference and opportunity cost; production possibility curve; economic systems (capitalist, socialist, mixed); tools of analysis: tables, graphs, mean, median, mode
Demand, supply and prices	Laws of demand and supply; shifts and movements; elasticity of demand and supply; equilibrium price; price control and rationing; consumer behaviour and utility
Production, costs and markets	Factors of production and their rewards; laws of returns; costs (fixed, variable, average, marginal) and revenue; perfect competition, monopoly, monopolistic competition and oligopoly; business organisations
National income, money and banking	GDP, GNP, NNP and methods of measuring them; money and its functions; demand for and supply of money; inflation and deflation; commercial banks, the Central Bank and monetary policy; financial markets
Public finance and international trade	Taxation (direct, indirect, progressive, regressive), budgets and public debt; comparative advantage; terms of trade; balance of payments; exchange rates; ECOWAS and international economic organisations
Development and the Nigerian economy	Economic growth and development; development planning; agriculture, industry and petroleum in Nigeria; population; unemployment

Demand and supply, costs and revenue, and national income produce the most calculation questions. Draw the graphs yourself: JAMB often asks you to read one.

Part 2 Formulas and key facts

Elasticity, costs and revenue

Quantity	Formula
Price elasticity of demand (PED)	PED = % change in quantity demanded ÷ % change in price. Elastic if > 1, inelastic if < 1, unitary if = 1
Income and cross elasticity	YED = % change in Qd ÷ % change in income; XED = % change in Qd of A ÷ % change in price of B (positive: substitutes; negative: complements)
Costs	TC = TFC + TVC; AC = TC ÷ Q; AVC = TVC ÷ Q; AFC = TFC ÷ Q; MC = change in TC ÷ change in Q
Revenue	TR = P × Q; AR = TR ÷ Q (= price); MR = change in TR ÷ change in Q
Profit	Profit = TR − TC; profit is maximised where MR = MC

National income and money

Quantity	Formula or fact
GDP (expenditure method)	GDP = C + I + G + (X − M)
GNP and NNP	GNP = GDP + net income from abroad; NNP = GNP − depreciation
Per capita income	National income ÷ population
Real income	Nominal income adjusted for changes in the price level
Propensities and multiplier	MPC + MPS = 1; multiplier k = 1 ÷ (1 − MPC) = 1 ÷ MPS
Functions of money	Medium of exchange; measure of value (unit of account); store of value; standard of deferred payment
Tools of monetary policy (CBN)	Monetary Policy Rate; open market operations; cash reserve ratio; liquidity ratio; selective credit control
Quantity theory of money	MV = PT (Irving Fisher)

Key ideas to know

Idea	In short
Opportunity cost	The next best alternative given up.
Law of diminishing returns	Adding more of a variable factor to a fixed factor eventually adds less and less output.
Comparative advantage	A country should specialise in what it produces at the lowest opportunity cost (David Ricardo).
Division of labour	Breaking production into tasks; raises efficiency (Adam Smith).
Inflation	A persistent rise in the general price level: demand-pull or cost-push.
Balance of payments	Record of a country's transactions with the rest of the world: current, capital and financial accounts.

Part 3 Worked examples

Example 1. The price of a good rises from ₦100 to ₦120 and the quantity demanded falls from 50 to 40 units. Find the price elasticity of demand.

→ % change in price = 20/100 × 100 = 20%

→ % change in quantity = 10/50 × 100 = 20%

→ PED = 20 ÷ 20

Answer: 1 (unitary elasticity)

Example 2. If the marginal propensity to consume is 0.8, find the multiplier.

→ k = 1 ÷ (1 − MPC) = 1 ÷ 0.2

Answer: 5

Example 3. A firm's total cost is ₦5,000 when it produces 100 units. Find the average cost.

→ AC = TC ÷ Q = 5,000 ÷ 100

Answer: ₦50

Example 4. A firm sells 200 units at ₦30 each. Its total cost is ₦4,500. Find total revenue and profit.

→ TR = 30 × 200 = ₦6,000

→ Profit = 6,000 − 4,500

Answer: TR ₦6,000; profit ₦1,500

Example 5. C = ₦500bn, I = ₦200bn, G = ₦300bn, X = ₦150bn, M = ₦100bn. Find GDP.

→ GDP = C + I + G + (X − M)

→ = 500 + 200 + 300 + 50

Answer: ₦1,050bn

Example 6. A student has ₦2,000 and must choose between a textbook and a pair of shoes. She buys the textbook. What is her opportunity cost?

→ Opportunity cost is the alternative forgone.

Answer: The pair of shoes

Example 7. Which market structure has a single seller and no close substitutes?

→ A monopoly is one seller with barriers to entry.

Answer: Monopoly

Example 8. A tax whose rate rises as income rises is:

→ Progressive tax takes a larger percentage from higher incomes.

Answer: Progressive

Example 9. When the Central Bank sells government securities to the public, the money supply:

→ Buyers pay with money, which leaves circulation.

Answer: Falls

Part 4 Traps that cost marks

Trap	What to do
Movement versus shift	A change in the good's own price moves along the curve; other factors (income, tastes) shift the curve.
Using absolute changes for elasticity	Elasticity uses percentage changes.
Confusing MPC and MPS in the multiplier	k = 1 ÷ MPS. If MPC = 0.75, MPS = 0.25 and k = 4.
GDP and GNP	GNP adds net income from abroad; for Nigeria it is usually below GDP.
Fixed and variable costs	Rent is fixed; raw materials are variable. Fixed costs exist even at zero output.
Reading graphs too quickly	Check the labels on both axes before answering.

Part 5 An 8-week plan

Start at least eight weeks before the exam. Each week: learn the topics, make short notes and solve past questions under time. Keep one day a week for revision.

Week	Focus	Practice
1	Basic concepts, PPC, economic systems	Definitions; 30 questions
2	Demand, supply, elasticity and price control	Draw every graph; calculations
3	Production, costs and revenue	Cost tables and calculations
4	Market structures and business organisations	Comparison tables
5	National income, money and inflation	Formula drill; 30 questions
6	Banking, monetary policy and public finance	Past questions
7	International trade, development and the Nigerian economy	Past questions; key facts
8	Full revision and mock exams	Two full timed papers

Exam-day reminders

Read every option before choosing. Eliminate the clearly wrong ones first.

Do not spend more than a minute on one question: flag it and come back.

Answer every question; there is no penalty for a wrong answer.

Check that your answers are saved before you submit, and keep an eye on the clock for all four subjects.

Test Practice test

Give yourself 10 minutes for these 15 questions, as in the real exam. The answers follow.

1. Opportunity cost is:

a) The money price of a good b) The next best alternative forgone c) The cost of production d) A fixed cost

2. If PED is greater than 1, demand is:

a) Elastic b) Inelastic c) Unitary d) Perfectly inelastic

3. If MPC = 0.75, the multiplier is:

a) 0.25 b) 1.33 c) 4 d) 7.5

4. Total revenue is:

a) Price × quantity b) Cost × quantity c) Profit − cost d) Price ÷ quantity

5. Profit is maximised where:

a) TR = TC b) AR = AC c) MR = MC d) MC = AC

6. An increase in consumers' income, for a normal good, will:

a) Shift the demand curve to the left b) Shift the demand curve to the right c) Move along the curve d) Have no effect

7. Which is a function of money?

a) Medium of exchange b) Factor of production c) Source of taxation d) Means of production

8. The reward for land as a factor of production is:

a) Wages b) Interest c) Profit d) Rent

9. Inflation caused by rising production costs is:

a) Demand-pull b) Hyperinflation c) Cost-push d) Deflation

10. The theory of comparative advantage is associated with:

a) Adam Smith b) David Ricardo c) Keynes d) Malthus

11. A tax on goods and services such as VAT is:

a) Direct b) Indirect c) Progressive d) A poll tax

12. GDP = C + I + G + (X − M) is the:

a) Income method b) Output method c) Expenditure method d) Value-added method

13. Goods consumed together, like cars and petrol, are:

a) Complements b) Substitutes c) Inferior goods d) Giffen goods

14. Which body controls monetary policy in Nigeria?

a) The Ministry of Finance b) The CBN c) The NDIC d) The FIRS

15. A market with many sellers of an identical product is:

a) Monopoly b) Oligopoly c) Perfect competition d) Monopsony

No.	Answer	No.	Answer
1	b) Next best alternative forgone	9	c) Cost-push
2	a) Elastic	10	b) David Ricardo
3	c) 4	11	b) Indirect
4	a) Price × quantity	12	c) Expenditure method
5	c) MR = MC	13	a) Complements
6	b) Shift right	14	b) The CBN
7	a) Medium of exchange	15	c) Perfect competition
8	d) Rent		

Recommended textbooks

- **Fundamentals of Economics** or **Comprehensive Economics** (the economics textbook your school uses).
- Other texts listed in the current JAMB Economics syllabus.
- **Past questions**: solve at least the last ten years' UTME Economics questions, timing yourself, and study every one you get wrong.

Prepare with the Himaayah Academy

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وَمَا تَوْفِيقِي إِلَّا بِاللَّهِ

"And my success is only through Allah." (Hūd 11:88)

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Understand the graphs, master the sums.

This free guide from the Himaayah Academy helps UTME candidates prepare for Economics with the formulas, the key ideas and the calculations that come every year.

- The Economics syllabus in six areas
- Elasticity, costs, revenue and national income formulas
- Money, banking and monetary policy
- Nine worked examples
- An 8-week plan and a 15-question practice test

Prepare with the Himaayah Academy

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